

Chapter 10

The Speculation of Crowds and “This Time Is Different” Thinking

On its path to maturity, bitcoin’s price has experienced euphoric rises and harrowing drops, as have many cryptoassets. One of the most common complaints among bitcoin and cryptoasset naysayers is that these fluctuations are driven by the Wild West nature of the markets, implying that cryptoassets are a strange new breed that can’t be trusted. While each cryptoasset and its associated markets are at varying levels of maturity, associating Wild West behavior as unique to cryptoasset markets is misleading at best.

Equities, which many consider to be transacted on the most transparent, efficient, and fair markets in the world, had a rocky first couple of centuries. Yes, centuries. Not only were these markets prone to mass speculation, as people raced to buy and sell based on mostly fabricated rags-to-riches stories, but many times the markets were rigged against participants.